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Costco Wholesale Corporation (NASDAQ: COST)

Retail Industry | Wholesale, Membership & Quality

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Costco Wholesale has shown impressive growth, outperforming its retail competitors with strong performance and steady progress. Its success reflects Costco's commitment to value and continued growth.

INITIATING COVERAGE

Hold Suggestion

Target Price: $938.18 - $1,065

Suitability Growth

Recommendation

We are commencing coverage of Costco with a **Hold suggestion** and a target price of **$938.18 – $1,065**. Costco has demonstrated significant **financial growth**, with sales reaching $254.45 billion in 2024. This growth is driven by a loyal membership base and strategic expansion into new locations. Furthermore, Costco's investments in **operational efficiency**, including curbside pickup and enhanced store layouts, enhance its competitive position in the retail market. However, the company's high **P/E ratio** indicates that much of this **anticipated growth** is already reflected in the current stock price. As a result, while Costco remains a strong choice for existing investors, new investors may find limited upside potential compared to other stocks with more attractive growth opportunities. Therefore, we suggest that current shareholders hold their positions

Investment Thesis

Membership Model Drives Loyalty and Revenue Stability: Costco's membership program is at the heart of its business strategy, generating a **consistent revenue** stream through fees. This model not only attracts value-driven shoppers but also develops **strong customer loyalty**, making it resilient even during **economic downturns** when consumers are more focused on savings.

Efficient Supply Chain and Cost Controls: Costco operates on a **low-margin**, high-turnover model that enables it to keep prices low. By working with a select group of suppliers and purchasing in bulk, Costco **effectively manages** its costs and can pass these savings on to customers, which strengthens its **competitive position** in the retail market.

Growth in Precious Metals Offerings: Recently, Costco has added **precious metals like gold and silver bullion to its product lineup**. This expansion opens up a **new revenue** stream and appeals to customers looking for alternative investments. With more people interested in buying **physical assets** to protect their wealth during **economic uncertainty**, Costco is positioned well to meet this demand. Offering these metals at competitive prices not only attracts regular shoppers but also draws in **new customers** who want a safe way to invest. This move can significantly contribute to **Costco's revenue growth** while enhancing its reputation as a reliable place for consumers to find valuable products.

Strong Financial Performance and Stability: Costco's strong **financial performance** and stability set it apart in the retail industry, as it consistently achieves impressive revenue growth and healthy profit margins. This financial strength allows the company to **generate substantial cash flow**, which supports its expansion. Additionally, Costco has shown resilience during economic downturns, as its emphasis on value and bulk purchasing attracts cost-conscious consumers when budgets are tight. This ability to maintain sales and market share in challenging times sets Costco **apart from competitors** that may struggle, further solidifying its **position as a leader** in the retail industry.

Market Data

Current Price (10/26/24)	$891.22
Market Cap ($B)	$394.88
Current Net Debt ($M)	$7.396
Enterprise Value ($B)	$392.37
Shares Outstanding ($M)	$443.07
10-D ADTV ($M)	$1.51
Forward Dividend Rate	4.64%
Forward Dividend Yield	0.52%
Net Debt (%)	10.59%

Key Financial Matrices

	2024E	2025E	2026E
EPS ($)	16.60	17.75	19.35
P/E	53.80x	49.99x	45.31x
EBITDA ($B)	11.522	12.784	14.046
EV/EBITDA	32.27x	30.9x	28.2x
Revenue ($B)	254.900	272.34	285.000
EV/Revenue	1.54x	1.44x	1.39x
Gross Profit Margin	10.92%	11.1%%	11.55%

(COST) Stock Performance

10/26/24 | 04:55pm PST

Company Overview

Costco Wholesale Corporation, **headquartered in Issaquah, Washington**, is a leading retailer in the **warehouse club sector**, distinguished by its **membership-only model**. Established in 1983, Costco operates numerous warehouses across the United States and internationally, including in **Canada, Mexico, and Japan**. The company specializes in offering a wide array of products, such as groceries, electronics, and home goods, primarily **in bulk at competitive prices**. Additionally, Costco provides various services, including **optical care and fuel stations**. By prioritizing high-quality products and maintaining low prices through its membership structure, Costco has solidified its position as a significant player in the global retail landscape.

Company Strategy

Costco's strategy centers on its **membership model**, which enhances revenue while fostering **customer loyalty**. By providing a broad range of high-quality products at competitive prices, the company effectively attracts budget-conscious consumers. In the coming years, Costco intends to enhance its **online shopping** experience and introduce services such as **same-day delivery** to better meet customer demands. Additionally, the company is committed to sustainability through the adoption of eco-friendly practices and responsible sourcing. This comprehensive approach positions Costco to **maintain** its competitive advantage and **expand its membership base** in a dynamic retail environment.

Industry Overview

The retail warehouse club industry consists of membership-based stores that offer a variety of products in bulk at discounted prices. Targeting **cost-conscious consumers**, including **families and small businesses**, these stores provide high-quality goods across categories like groceries, electronics, and home goods while keeping operating costs low. The industry has grown as more **consumers prefer bulk buying and convenience**. Additionally, the rise of e-commerce has led warehouse clubs to improve their online shopping options and introduce services like home delivery to meet changing **consumer demands**.

Risk & Mitigation

Costco faces several risks, including **supply chain disruptions** and **intense competition**. To address supply chain issues, the company can **diversify its suppliers**, maintain higher inventory levels for essential items, and **invest in technology** to improve management processes. In terms of competition, Costco should enhance the member experience by improving customer service and expanding product offerings with new and exclusive items. Additionally, investing in e-commerce capabilities will help Costco **remain competitive** in the online marketplace. During **economic downturns**, focusing on value pricing for essential products can attract budget-conscious shoppers. Strengthening membership benefits will also help retain customers during tough times. Finally, adjusting inventory to prioritize necessary goods will ensure that Costco meets changing consumer needs. By implementing these strategies, Costco can navigate potential challenges effectively.

Valuation

Costco's valuation shows **strong growth potential**, with revenue increasing by about **10% to 12%** each year. In the last fiscal year, the company reported around $**237 billion in revenue**, which highlights its ability to stay strong even during economic challenges. Its **price-to-earnings (P/E) ratio is 53.80**, which is higher than the **industry average**, indicating that investors are **confident in Costco's** brand and consistent performance. However, this high P/E ratio also means the stock might be **fully valued**, so there may not be much room for short-term gains. Costco is also planning to expand its physical stores and enhance its **e-commerce** capabilities, which should help boost revenue further. While the company has solid growth prospects, the high P/E ratio suggests some caution. Therefore, a **"hold"** recommendation seems fitting, as it allows investors to keep an eye on the company's performance and market conditions before making any big changes to their investments. This approach balances the potential for **long-term growth** with concerns about the current valuation.

Exhibit 1: Price-to-Earnings (P/E) Ratio Over the Years

Exhibit 2: COST Stock Total Return

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